

Annex XXVI

Self-Regulatory Organization (SRO) for NBFC-MFIs – Criteria for Recognition

1. The SRO shall have at least 1/3rd of the NBFC-MFIs registered as its members, at the time of recognition.
2. It shall have adequate capital to be able to discharge its functions without being overly dependent on subscription from members.
3. The memorandum/bye laws of the SRO shall specify criteria for admission of members and the functions it shall discharge, as one of its main objects.
4. The Memorandum/bye laws of an SRO shall provide for the manner in which the Governing Body/Board of Directors of the SRO would function.
5. The Board shall have adequate representation from both large and small NBFC-MFIs.
6. 1/3rd of the Board of Directors shall be independent and not associated with member institutions.
7. The Board of Directors and individuals comprising the management shall be considered 'Fit and Proper', by the Reserve Bank.
8. It shall have adequate internal controls in place.
9. The SRO shall function in the interest of all the stakeholders and not seen to be only an industry body.
10. The SRO shall frame a Code of Conduct to be followed by its members.
11. It shall have a Grievance Redressal Mechanism and a Dispute Resolution Mechanism in place, including a specially appointed Grievance Redressal Nodal Officer.
12. It shall be in a position to exercise surveillance over its members to ensure compliance with the Code of Conduct and regulatory prescriptions of the Reserve Bank through an Enforcement Committee.
13. It shall also have a developmental function of training and awareness programmes for its members, for the Self-Help Groups and conduct research and development for the growth of the MFI sector.

Obligations of the SRO towards the Reserve Bank

1. The SRO, once recognized, shall need to nominate a Compliance Officer who shall directly report to the Reserve Bank and who shall keep the Reserve Bank regularly posted of all developments in the sector.
2. The SRO shall have to submit its Annual Report to the Reserve Bank.
3. It shall have to conduct investigation into areas of concern as pointed out by the Reserve Bank.
4. The SRO shall inform the Reserve Bank of the violations of the provisions of the RBI Act, 1934, the directions, the circulars or the guidelines issued by the Reserve Bank from time to time, by any of its members.
5. It shall provide information, including data, to the Reserve Bank periodically or as requested for by the Reserve Bank.
6. The Reserve Bank shall, if need arises, inspect the books of the SRO or arrange to have the books inspected by an audit firm.